CHAPTER 10

INDIAN ECONOMY 1950 1990

CHAPTER ESSENCE AT A GLANCE:
Examine India post-independence planning era: five-year plan goals (growth, modernization, self-reliance, equity), Green Revolution technology, land reforms, IPR 1956, and import substitution.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Four Cardinal Planning Goals:** Growth (expanding GDP capacity), Modernization (adopting technology and social equality), Self-Reliance (reducing foreign food or capital dependency), and Equity (reducing poverty and wealth concentration).

• **Land Reforms and Land Ceilings:** Abolition of intermediaries (zamindars made tillers owners of land) and imposing legal land ceiling caps on maximum holding to reduce agrarian inequality.

• **Green Revolution High-Yielding Paradigm:** HYV wheat or rice seeds, chemical fertilizers, pesticides, and canal tubewell irrigation leading to agricultural self-sufficiency and marketable surplus.

• **Industrial Policy Resolution (IPR) 1956:** Socialist pattern of society dividing industry into Schedule A (state monopoly), Schedule B (state leading with private support), and Schedule C (private under strict industrial licensing), accompanied by Import Substitution inward-looking trade strategy.

ESSENTIAL ECONOMIC MODELS & GOVERNING FORMULAS

$$\text{Four Pillars of Planning} = \text{Growth (GDP)} + \text{Modernization} + \text{Self-Reliance} + \text{Equity (Justice)}$$

Mahalanobis Five-Year Plan Foundational Objectives

$$\text{Marketable Agricultural Surplus} = \text{Total Crop Output Produced} - \text{Farmer Own Family Subsistence Consumption}$$

Green Revolution Commercial Output Measure

$$\text{IPR 1956 Industrial Schedule} = \text{Schedule A (State)} + \text{Schedule B (Mixed)} + \text{Schedule C (Licensed Private)}$$

Three-Tier Industrial Policy Resolution 1956

$$\text{Import Substitution Strategy} \Longleftrightarrow \text{Domestic Manufacturing} + \text{High Tariffs} + \text{Import Quotas}$$

Inward-Looking Trade Protection Policy

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Land Ceiling was resisted by large landlords through legal loopholes, transferring land titles to benami fictitious relatives.

• **Alert:** Marketable surplus is the portion of agricultural harvest sold in the market after meeting family consumption; without marketable surplus, Green Revolution cannot feed urban populations.

• **Alert:** Import substitution protected infant domestic industries via tariffs and quotas, but led to inefficiency, monopolistic complacency, and poor consumer product quality.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State the four primary long-term goals of India's Five-Year Plans. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **The Four Goals:** (1) Growth (increase in national GDP capacity), (2) Modernization (adoption of new technology and social reform). [1 Mark]

• **Remaining Two:** (3) Self-reliance (avoiding foreign import dependence), (4) Equity (ensuring benefits reach the poorest sections). [1 Mark]

2. What was the Green Revolution? Name the primary agricultural crop that spearheaded it. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The spectacular increase in food grain production resulting from the introduction of High Yielding Variety (HYV) seeds, chemical fertilizers, and assured irrigation. [1 Mark]

• **Primary Crop:** Wheat (followed by rice). [1 Mark]

3. Explain the significance of Land Reforms in post-independent India under: (a) Abolition of Intermediaries, (b) Land Ceilings. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Abolition of Intermediaries:** Stripped parasitical zamindars of land rights, bringing nearly 200 lakh tenants into direct contact with the state and giving them ownership. [1.5 Marks]

• **(b) Land Ceiling:** Imposed statutory maximum limits on the size of agricultural land an individual could own, with surplus redistributed to landless tillers. [1.5 Marks]

4. What is Marketable Surplus? Why was it vital for economic growth in the 1960s and 1970s? [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Definition:** The portion of agricultural production that is sold in commercial markets by farmers after meeting their own family consumption requirements. [1.5 Marks]

• **Economic Significance:** Provided food grains to feed growing non-agricultural industrial urban populations and built government buffer stocks against famines. [1.5 Marks]

5. Explain the three-fold classification of industries under the Industrial Policy Resolution (IPR) 1956. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Schedule A (17 Industries):** Exclusive monopoly of the State (e.g. defense, atomic energy, railways, heavy electricals). [1 Mark]

• **Schedule B (12 Industries):** Mixed sector where the State would take the initiative to set up new units while the private sector supplemented state efforts. [1 Mark]

• **Schedule C:** Residual consumer industries left to the private sector, but strictly controlled through industrial licensing (License Raj). [1 Mark]

6. Explain the strategy of Import Substitution (Inward-Looking Trade Strategy) adopted by India between 1950 and 1990. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Core Policy:** Replacing imported goods with domestically manufactured substitutes (e.g. producing domestic cars rather than importing foreign cars). [1.5 Marks]

• **Protection Instruments:** Heavy import tariffs (raising import prices) and Quotas (fixing strict physical quantity limits on allowable imports). [1.5 Marks]

7. Evaluate the achievements and critical drawbacks of India's economic development trajectory between 1950 and 1990. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Achievements:** Self-sufficiency in food grain production via Green Revolution, diversified industrial base producing steel, power, and consumer goods. **[2 Marks]**

• **Critical Drawbacks:** License-Permit Raj stifling private innovation, public sector incurring massive operational losses, inward-looking protection producing uncompetitive low-quality goods, culminating in the 1991 balance of payments crisis. **[2 Marks]**